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CASE #	CASE NAME	HEARING NAME
CVME2511862	YIN VS ZHANG	DEMURRER AND MOTION TO STRIKE ON 1 ST AMENDED COMPLAINT

Tentative Ruling: Overrule the Demurrer and Deny the motion to strike, with 20 days leave to file an Answer.

Plaintiffs Shufang Yin, Shixiu Lu, Jie Shein, Zhen Wang and Wei Zhang (“Plaintiffs”), who are Chinese citizens, allege that they and other investors each invested \$500,000 into TV Old Town LP for the purpose of pursuing lawful EB-5-qualified economic activities. Plaintiffs assert that Defendant Jeff Zhengang Zhang (“Zhang”) misappropriated partnership funds for improper purposes. On July 27, 2021, Plaintiffs filed a lawsuit against Zhang the Los Angeles County Superior Court alleging fraud and breach of contract (“LA Action”). On September 21, 2021, the case was refiled in Riverside County Superior Court, Case No. CVSW2108162 (“Riverside Action”). On September 28, 2021, the LA Action was dismissed. As part of the settlement of the Riverside Action, Zhang executed a stipulated judgment that provided for the entry of judgment ex parte in favor of Plaintiffs in the event Zhang defaulted on his payment obligations, which he did on February 29, 2024. The Riverside Court entered judgment for Plaintiffs in the amount of \$2,050,000 (“Judgment”)

Zhang and his wife, Defendant Alisha Lei Yang (“Yang”) purchased property in Temecula (“Subject Property”) on July 8, 2024. In 2020, Zhang and Yang transferred the Subject Property from themselves as individuals to themselves as trustees of the Zhang Family Trust dated August 10, 2020 (“Trust”). On September 29, 2021, after Plaintiffs’ lawsuit was filed, Yang transferred her interest in the Trust property to Zhang as his sole and separate property. The Trust then transferred the Subject Property to Zhang who used it as collateral to secure a \$1,062,500 mortgage Castle Mortgage Corp., dba Excelerate Capital (“Castle Mortgage”). The Deed of Trust (“DOT”) was recorded on October 8, 2021.

Plaintiffs filed their Complaint on September 22, 2025, and the operative First Amended Complaint (“FAC”) on February 10, 2026. They assert two causes of action for: (1) Statutory Action for Voidable (Fraudulent) Transfer (Cal. Civ. Code §§ 3439.04-3439.07); and (2) Common Law Action for Fraudulent Conveyance.

Uniform Voidable Transfer Act: Defendants argue that Plaintiffs cannot establish an intent to hinder, delay or defraud a creditor under Section 3439.04 because the exhibits show that the Subject Property had been owned by the Trust (FAC, Ex. B), was only briefly transferred to Zhang for the purpose of securing a loan against the Property (FAC, Ex. D and E), and was then transferred back to the Trust (FAC, Ex. F.) The transfers from the Trust to Zhang and Zhang to the Trust, as well as Castle Mortgage’s DOT were all recorded on October 8, 2021. (FAC, Ex. D, E and F.) Defendants assert that this shows an intent to hold the Subject Property in the Trust.

Citing *Estate of Heggstad* (1993) 16 Cal. App. 4th 94, Defendants assert that “a written declaration of trust by the owner of real property, in which he names himself as trustee, is sufficient to create a trust in that property, and the law does not require a separate deed transferring the property to the trust.” (Id at 950.) A trust agreement signed by the settlor and trustee, manifesting the settlor’s intention to transfer specified property is sufficient to transfer

the property and a formal deed conveying the property is unnecessary. (*Carne v. Worthington* (2016) 246 Cal. App. 4th 548, 558.)

However, these cases involve a settlor's intent to transfer property to a trust, which is not at issue. Neither of the cases cited by Defendants involve the UVTA or the intent to hinder or delay creditors by transferring property from the debtor. Plaintiff argues that the intent to defraud is a factual issue which cannot be determined on demurrer based on trust documents that are not before the Court. While the fact that the Subject Property was transferred back to the Trust on the same day as the transfer to Zhang strongly suggests an intent to hold the Subject Property in the Trust, this is a factual issue. Moreover, without the Trust documents, it is not clear that Trust is a revocable trust that would remain subject to Plaintiffs' creditor claims. (See *Gagan v. Gouyd* (1999) 73 Cal. App. 4th 835, 842, disapproved on other grounds by *Mejia v. Reed* (2003) 31 Cal.4th 657 ["Property in a revocable trust is subject to creditor claims to the extent of the debtor's power of revocation."])

Defendants also argue that Plaintiffs cannot establish intent because Defendants were not aware of the Riverside Action until after the Subject Property was transferred back to the Trust. It appears that Zhang was served by substitute service on October 8, 2021. (Heumann Dec., Ex. 1.) However, the LA Action was filed on July 27, 2021. (FAC, ¶ 10.) Plaintiffs allege that Zhang stipulated to transfer the LA Action to Riverside. (FAC, ¶ 11.) Thus, it is not clear that Defendants were not aware of Plaintiffs' claims against Zhang on October 8, 2021. A tort claimant is a creditor within the meaning of the UVTA from the moment the cause of action accrues and is entitled to avoid a fraudulent transfer made prior to the commencement of the action. (*Oiye v. Fox* (2012) 211 Cal. App. 4th 1036, 1057.)

Overall, Defendants have not established that the FAC contains insufficient allegations of intent to hinder or delay creditors. Moreover, the Demurrer does not address the Section 3439.05(a) claim, which does not require the intent to defraud where property is transferred without adequate consideration and the debtor is insolvent. To be sustained, a demurrer must dispose of an entire cause of action. (*PH II, Inc. v. Superior Court* (1995) 33 Cal. App. 4th 1680, 1682.)

Common Law Action for Fraudulent Conveyance: The second cause of action is based on the same general facts as the first cause of action. "[T]he UVTA was intended to supplement, not replace, common law principles relating fraud." (*Berger v. Varum* (2019) 35 Cal. App. 5th 1013, 1019.) The remedies provided by the UVTA are cumulative. (Ibid.) Accordingly, creditors may bring common law claims in addition to claims under the UVTA. (Ibid.) Defendants do not challenge the sufficiency of the allegations of the second cause of action.

Joinder of Castle Mortgage: A plaintiff is required to join as parties to the action any person whose interest is such that: In his or her absence, complete relief cannot be accorded among those already parties to the action; or any judgment rendered in his or her absence might either (a) prejudice his or her ability to protect his or her interest in later litigation; or (b) leave any of the parties before the court exposed to a risk of additional liability or inconsistent obligations. (CCP §389(a).) "The controlling test for determining whether a person is an indispensable party is, 'Where the plaintiff seeks some type of affirmative relief which, if granted, would injure or affect the interest of a third person not joined, that third person is an indispensable party.'" (*Save Our Bay, Inc. v. San Diego Unified Port Dist.* (1996) 42 Cal.App.4th 686, 692 [quoting *Sierra Club, Inc. v. California Coastal Com.* (1979) 95 Cal.App.3d 495, 501].)

The statute distinguishes between “necessary” parties and “indispensable” parties. A necessary party, under subdivision (a), is one in whose absence complete relief cannot be accorded, or one who claims an interest in the subject of the action such that a resolution of the action might either (i) impair or impede his or her ability to protect that interest, or (ii) leave any of the persons already parties subject to a substantial risk of double, multiple, or inconsistent obligations. The court must order joinder of necessary parties. A party is indispensable under subdivision (b) if that party is a necessary party, they cannot be joined, and the court determines “in equity and good conscience” that the action should be dismissed, based on several factors specified in the statute. “As is apparent from the structure of Code of Civil Procedure section 389, and the first phrase of subdivision (b), a person must be a necessary party to be an indispensable party.” (*Verizon California Inc. v. Board of Equalization* (2014) 230 Cal.App.4th 666, 679.)

A demurrer should be sustained based upon nonjoinder only where there is a “substantial risk” of multiple liability. (CCP § 389(a)(2)(ii).) “Substantial risk means more than a theoretical possibility of the absent party’s asserting a claim that would multiply liability.” (*Union Carbide Corp. v. Superior Court* (1984) 36 Cal.3d 15, 21.) “The risk must be substantial as a practical matter.” (*Id.* See also *Harboring Villas Homeowners Assoc. v. Superior Court*, 63 Cal.App.4th 426, 432 (quoting *Bank of California, Nat’l Assoc. v. Superior Court* (1940) 16 Cal.2d 516, 521) (“Our Supreme Court has cautioned against finding any necessary party as indispensable and observed that ‘we should . . . be careful to avoid converting a discretionary power or a rule of fairness in procedure into an arbitrary and burdensome requirement which may thwart rather than accomplish justice’”). Moreover, a demurrer lies only for defects appearing on the face of the pleading and is particularly unsuited to resolving questions of fact regarding the misjoinder of parties. (*Verizon California Inc. v. Board of Equalization* (2014) 230 Cal.App.4th 666, 680-81; see also *Harboring Villas Homeowners Assn. v. Superior Court* (1998) 63 Cal.App.4th 426, 429 [defendant may not claim a defect or misjoinder of parties by demurrer if such defect is not set forth in the pleadings].)

Defendants assert that Castle Mortgage is an indispensable party because it holds a beneficial interest in the Subject Property under the DOT, and Plaintiffs seek to unwind the October 8, 2021 transactions, including the DOT. However, this misstates the relief sought by Plaintiffs. Plaintiffs allege multiple transfers of interests in the Subject Property that were recorded on October 8, 2021. First, the Trust transferred title to Zhang. (FAC, ¶ 17; Ex. D.) Zhang used the Subject Property as collateral to secure a loan from Castle Mortgage and executed a DOT which was recorded against the Subject Property. (Id at ¶ 18; Ex. E.) Immediately after securing the mortgage, Zhang conveyed the Subject Property back to the Trust. (Id at ¶ 19; Ex. F.) Plaintiff contend that the Final Transfer recorded as Instrument No. 2021- 0597851 (i.e. the transfer from Zhang to the Trust) is voidable under Civil Code § 3439.04. (Id at ¶ 32.) Plaintiffs seek to set aside only the transfer from Zhang to the Trust which occurred after the DOT was recorded. Plaintiffs indicate that they would then seek to collect on the Judgment based on Defendants’ current interest in the Subject Property subject to Castle Mortgage’s DOT. Therefore, as alleged in the FAC, the present action will not impair or impede Castle Mortgage’s ability to protect its interest in the Subject Property. Defendants have not established that there is a substantial risk that they will face multiple or inconsistent obligations.

Motion to Strike: Pursuant to the UVTA, where a transfer is voidable, the creditor may recover judgment for the value of the asset transferred. (Civ. Code § 3439.08(b)(1).) The UVTA does not provide for punitive damages. However, the UVTA’s remedies are cumulative and not the exclusive remedies for fraudulent transfers. (*Berger, supra*, 35 Cal. App. 5th at 1019.) Punitive

damages may be available. (Ibid.) However, to obtain remedies under the common law, the plaintiff must show prejudice. Mere intent to delay or defraud is not sufficient. (Ibid.)

Assuming the facts alleged in the FAC are true, and that Zhang intentionally transferred title to the Subject Property from his name to the Trust, which could not be reached by his creditors in order to defraud Plaintiffs and prevent them from collecting on the Judgment, Plaintiffs have stated sufficient facts to constitute malice. While the facts suggest that the Trust was revocable and the Subject Property was intended to remain in the Trust, these facts are not entirely clear from the face of the FAC.